

The President's Daily Brief

For the President - 3 August 2026

Trump Halts Planned Strike on Iran as Nuclear and Hormuz Talks Open Today

We assess that President Trump's decision to call off a planned military strike on Iran and open negotiations this afternoon has bought a narrow diplomatic window, but Tehran retains meaningful leverage and the risk of a rapid return to confrontation remains elevated. The President said Sunday that Saudi Arabia, the United Arab Emirates, and Qatar had urged Washington to cancel the operation because "they think there's a deal," and framed the talks as aimed first at reopening the Strait of Hormuz and then at Iran's nuclear program.

- Trump said he called off what he described as "the biggest attack since World War II," citing a plea from Tehran and requests from Gulf partners; US forces remain on alert pending the talks.
- He said a deal on Hormuz is "imminent" and predicted a follow-on nuclear agreement, but set no deadline and did not name the venue; Qatar and Pakistan are reported to be mediating.

Israeli Strikes Escalate as Netanyahu Balks at US-Brokered Disarmament Framework

We assess that the US-brokered framework President Trump has hailed — under which Hamas reportedly agreed to disarm — is at serious risk, and that Israel is signaling it is not prepared to implement the version made public. Prime Minister Netanyahu's office said Israel had conveyed "comments and concerns" and that the public text "does not reflect Israel's positions," even as Israeli strikes on Gaza killed at least 18 people on Sunday, the highest daily toll in weeks.

- Strikes hit Gaza City, Deir al-Balah, and Khan Younis; medics' tallies ranged from roughly 13 to 19 dead across the day.
- Netanyahu's spokesman set the bar at "genuine, verifiable and irreversible" demilitarization and objected to Qatari and Turkish roles in verifying compliance, and to whether collected weapons would be destroyed rather than stored.

Saudi-Led Maritime Coalition Forms as Houthi Blockade Chokes the Red Sea

We assess that a new Saudi-led maritime coalition marks a significant, Gulf-driven realignment to secure the Bab al-Mandeb, the Red Sea, and the Gulf of Aden after Houthi forces imposed a blockade on the kingdom. The grouping is notable for being regionally led rather than US-flagged, and for pulling together an unusually broad set of Muslim-majority and littoral states.

- Riyadh convened representatives of 43 of 51 invited states plus the EU in late July; 14 signed a founding statement, among them Pakistan, Turkey, Egypt, Jordan, and Djibouti.
- Saudi Arabia will host the coalition's permanent headquarters, joint command, and operations center as founding and leading state.

Ukraine Deepens Strike Campaign on Russian Refineries and a Strategic Bomber Base

We assess that Ukraine's overnight long-range strikes on 2 August sustain a deliberate campaign to degrade Russia's energy revenue and strategic-aviation infrastructure, even as Moscow's ground offensive stalls. Kyiv's military intelligence and defense forces reported hitting the Saratov oil refinery, the Engels strategic air base, and an oil depot in Kaluga Oblast, among other targets.

- Ukrainian reporting indicates the ELOU-AVT-6 primary processing unit at the Saratov refinery — capacity roughly 7 million tonnes a year — was set ablaze.
- Engels hosts Tu-95MS and Tu-160 bombers Russia uses to launch cruise-missile salvos against Ukraine; a fire was reported at the base.

China Extends Coast Guard Patrols East of Taiwan; US Calls Activity 'Deeply Destabilizing'

We assess that Beijing is working to normalize a law-enforcement presence in waters east of Taiwan to assert jurisdiction across the Western Pacific — coercion deliberately kept below the threshold of armed force. A China Coast Guard formation intensified patrols there over the past several days, and Taipei deployed vessels to monitor them.

- The US called the patrols "deeply destabilizing" and urged Beijing to end its pressure campaign against Taipei.
- The activity extends a pattern Beijing began in June with its first "law enforcement operation" east of the island, which officials in the region describe as an attempted "new normal."

US Frontier-AI Security Framework Activates, Adding Classified Cyber Benchmarking

We assess that the activation this weekend of the US voluntary pre-release review framework for frontier AI models — the mechanism directed under the June executive order and due to stand up by 1 August — is a modest but strategically meaningful step to give the government early insight into advanced models' cyber capabilities. This is a governance and access measure, not evidence of a capability jump; we see no indication of recursive self-improvement.

- Developers are asked to submit cutting-edge models to federal agencies roughly 30 days before public release for voluntary security review.
- The framework establishes a classified benchmarking process for advanced cyber capabilities, led by NSA with Treasury and CISA roles.

Notes

OPEC+ eases the taps for September. Producers meeting virtually on 2 August agreed a further output increase of roughly 188,000 barrels per day for September, unwinding more of their voluntary cuts. The move lands against a July in which crude rose more than 20 percent — its strongest month since March — on the Hormuz closure and Red Sea disruption. We assess the increase is calibrated to defend market share and cool prices without collapsing them, and that the geopolitical risk premium, not the quota, will drive prices near-term.